Oil swings and the dollar firms: what it means for Australia

> Crude oil bounced back above US$92 a barrel on Wednesday as attacks on Gulf shipping continued, while the Australian dollar edged up to 68.78 US cents.

WHAT HAPPENED

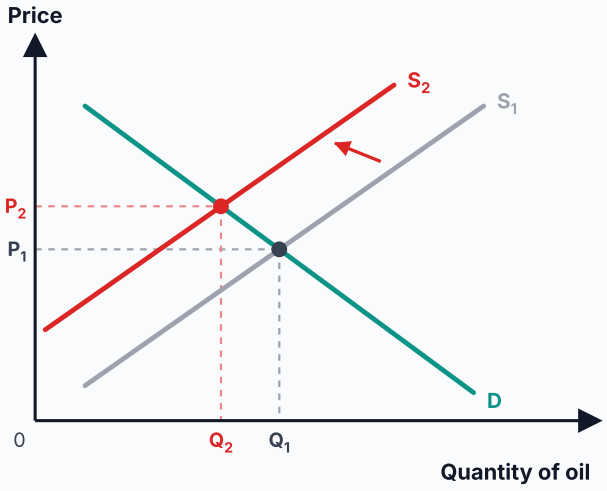
- **Brent crude** hit two-month lows after US officials played down further military action against Iran, then rose about 1% to **US$92.43** a barrel (WTI US$86.60).
- **37 ships** were attacked in October – the most in any month since the war began – and 10 so far in November.
- The **AUD rose 0.2%** to 68.78 US cents.
- **Iron ore** slipped 0.4% to US$92.40 a tonne and copper fell 1.2%; gold rose about 0.5%.
- Energy shares gained (Karoon +1.9%, Ampol +1.8%), and Westpac reports petrol near **$2.40 a litre**.

US$92.43 Brent crude per barrel	**68.78 US¢** Australian dollar
US$92.40 Iron ore per tonne	**37** Ships attacked in October

Terms of trade: the ratio of export prices to import prices; it rises when export prices rise relative to import prices.
Price-inelastic demand: quantity demanded changes little when price changes, e.g. fuel in the short run.

DIAGRAM

Why supply fears push oil prices up so sharply



Attacks on tankers threaten oil supply, shifting supply from **S_1 to S_2**.

Because demand for fuel is fairly **price-inelastic** in the short run, quantity falls only a little (**Q_1 to Q_2**) while price jumps (**P_1 to P_2**). This is why oil reacts so strongly to news from the Gulf.

Exam angle: Australia imports most of its **refined fuel**, so dearer oil raises import prices and costs for business, but it also exports **LNG and coal**. Whether the terms of trade improve depends on which prices move more.

FLOW CHART

From the Strait of Hormuz to Australian inflation

Attacks on Gulf shipping → Oil supply risk – higher crude prices → Dearer petrol and freight in Australia → **Inflation stays high; pressure on RBA**

SYLLABUS LINK
Topic 2 – Australia's terms of trade, commodity prices, the exchange rate and their effects on the current account.

TRY THIS
Explain how changes in global commodity prices affect Australia's terms of trade and current account balance.
(4 MARKS)

Sources — ABC News business live blog, 11 Nov 2026: abc.net.au/news/2026-11-11/asx-markets-business-live-news-nov-11/107370848 · Westpac IQ, 'Consumer sentiment sinks to new low': westpac iq.com.au/economics/2026/11/consumer-sentiment-november-2026